

		of all supporting declarations and documents. ROA 47. Accordingly, there is no evidence to support any of Plaintiff's "suspicions of irregularity" and the Court is not persuaded that this contention forms any basis for a new trial. Second, Code of Civil Procedure section 657 specifically states: "A new trial <i>shall not be granted</i> . . . upon the ground of . . . inadequate damages, unless after weighing the evidence the court is convinced from the entire record, including reasonable inferences therefrom, that the court [] clearly should have reached a different [] decision." (emphasis added). Such is not the case in this instance. Plaintiff contends that it received "inadequate damages," which is expressly contemplated by sec. 657 and is also not a basis for a new trial where, as here, there is <i>no evidence</i> that Judge Oberholzer "clearly should have reached a different decision." Accordingly, Plaintiff's motion for new trial and/or modification of judgment is DENIED. Plaintiff to provide notice.
14	Robicheaux vs. Rowshan 2022-01261647	1. Demurrer to Amended Complaint 2. Motion for Bifurcation filed by Newport Care MSO, LLC, Newport Care Medical Group, Inc., Top Surgical, LLC, Kasra Rowshan, Old Newport Group, LLC, Linden Properties, LLC on 8/24/23 I. Demurrer to Amended Complaint Defendant Linden Properties, LLC, and Defendants and Cross-Complainants Kasra Rowshan, M.D. ("Dr. Rowshan"), Newport

Care Medical Group, Inc. ("Newport Care"), Newport Care MSO, LLC (the "MSO"), Top Surgical, LLC ("Top Surgical"), and Old Newport Group, LLC ("Old Newport") (collectively, "Defendants") filed Demurrer to the second cause of action for promissory fraud against Dr. Rowshan and Newport Care and fourth cause of action for breach of contract against Dr. Rowshan.

First, Defendant's request for judicial notice is **DENIED**. Exhibits A-C are reasonably disputable. *Fremont Indemnity Co. v. Fremont General Corp.*, 148 Cal. App. 4th 97, 113-115 (2007) and Exhibits D-F are not relevant to the Demurrer.

Moreover, the Demurrer to the second cause of action on the grounds that Plaintiff fails to states facts sufficient to constitute a cause of action is **OVERRULED**.

"'Promissory fraud' is a subspecies of the action for fraud and deceit." *Lazar v. Superior Court*, 12 Cal. 4th 631, 638 (1996); Cal. Civ. Code § 1710(4). "A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud." *Id.*

"[P]romissory fraud requires proof of: (1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the

promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise[e].” *Missakian v. Amusement Industry, Inc.*, 69 Cal. App. 5th 630, 654 (2021), review denied (Jan. 5, 2022) (citation omitted).

“[I]n a promissory fraud action, to sufficiently allege defendant made a misrepresentation, the complaint must allege: (1) the defendant made a representation of intent to perform some future action, *i.e.*, the defendant made a promise; and (2) the defendant did not really have that intent at the time that the promise was made, *i.e.*, the promise was false.” *Beckwith v. Dahl*, 205 Cal. App. 4th 1039, 1060 (2012).

“To sufficiently plead the first requirement, that the defendant made a promise, the complaint must state ‘*facts* which show how, when, where, to whom, and by what means the representations were tendered.’” *Beckwith v. Dahl*, 205 Cal.App.4th 1039, 1060 (2012) (citing *Lazar v. Superior Court*, 12 Cal. 4th 631, 638 (1996)).

“As for the second requirement, the falsity of that promise is sufficiently pled with a general allegation the promise was made without an intention of performance.” *Beckwith v. Dahl* 205 Cal. App. 4th 1039, 1060 (2012). “Purely evidentiary matters—usually circumstantial evidence or admissions showing lack of that intention—should not be pleaded.” *Id.*
“Hence, the only necessary averment is the general statement that the promise was made without the intention to perform it, or that the defendant did not intend to perform it.” *Id.*

Importantly, “a fraud action is not barred when the allegedly fraudulent promise is unenforceable under the statute of frauds.” *Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn.*, 55 Cal. 4th 1169, 1183 (2013) (citing *Tenzer v. Superscope, Inc.*, 39 Cal. 3d 18, 29 (1985)). This is because “a rule intended to prevent fraud, in that case the statute of frauds, should not be applied so as to facilitate fraud.” *Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn.*, 55 Cal. 4th 1169, 1183 (2013).

The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. *Tarmann v. State Farm Mut. Auto. Ins. Co.*, 2 Cal. App. 4th 153, 157 (1991).

Here, the Court already ruled in its order on Defendants’ Motion for Judgment on the Pleadings that the second cause of action for promissory fraud was sufficiently pled. It does not appear that the allegations in the Second Amended Complaint have changed such that the Court should find differently when ruling on the present Demurrer.

As before, Plaintiff sufficiently alleges a promissory fraud cause of action. Plaintiff alleges that: (1) on February 26, 2021, Defendants Rowshan and Newport Medical Care Group, Inc. (Rowshan acting with his controlling interest) promised to enter into the Newport Care MSO operating agreement

consistent with the terms set forth in the Letter of Intent and common in the medical industry, SAC, ¶¶ 19-20, 39; (2) Defendants did not intend to perform these promises, SAC, ¶¶ 22-25, 30, and 4; (3) Defendants intended for Plaintiff to rely on these promises, SAC, ¶ 41; (4) Plaintiff reasonably relied on the promises by entering into the Letter of Intent and transferring his 50% interest in Newport Medical Care Group, Inc. based on their prior transactions, 6 years of business partnership, and 10 years of friendship, SAC, ¶¶ 21 and 42; and (5) Plaintiff was damaged in that he lost his interest in Newport Medical Care Group, Inc., which Plaintiff estimated to be worth \$22 million dollars. SAC, ¶¶ 43-45.

Although these allegations are not perfect, they are sufficient at the pleading stage. Accordingly, the Demurrer as to Plaintiff's second cause of action for promissory fraud against Rowshan and Newport Care on the grounds that the Second Amended Complaint fails to state facts sufficient to constitute a cause of action is **OVERRULED**.

Next, Defendants Demurrer to the second cause of action for promissory fraud against Dr. Rowshan and Newport Care and fourth cause of action for breach of contract against Dr. Rowshan on the grounds that it is barred by the Release in the Repurchase Agreement. The Repurchase Agreement is Exhibit A to the Letter of Intent. The interpretation and applicability of the Letter of Intent are at issue in this case and the Court will not enforce the Letter of Intent and attachment thereto at this time. The Demurrer is **OVERRULED**.

Plaintiff to give notice.

II. Motion for Bifurcation

Defendants filed a Motion to Bifurcate. The Motion is **GRANTED** as the Court finds that the ends of justice and interests of economy and efficiency would be best served by resolving whether the Letter of Intent and related attachments thereto are valid and enforceable. *See* Code Civ. Proc. § 598 and § 1048(b).

As currently pled, the Second Amended Complaint appears to argue that the Letter of Intent is an unenforceable agreement to agree while also argue that certain aspects of the Letter of Intent are enforceable. The Court finds that resolving this issue will inevitably streamline discovery and will promote the economy and efficiency of handling the litigation.

As such, the Motion is **GRANTED**. Phase 1 of this case shall be limited to whether the Letter of Intent and related attachments thereto are valid and enforceable. Thus, only the second cause of action for promissory fraud and third cause of action for breach of contract are at issue.

Since the Court finds that these causes of action will not implicate Plaintiff's Fifth Amendment Privilege, the discovery stay is lifted as to the second cause of action for promissory fraud and third cause of action for breach of contract *only*.

Defendants to give notice.